RESERVE BANK OF INDIA & NABARD
REVISED KISAN CREDIT CARD (KCC) SCHEME GUIDELINES

1. PURPOSE:
The Kisan Credit Card scheme aims to provide adequate and timely credit support from the banking system under a single window with flexible and simplified procedure to the farmers for their cultivation and other needs as indicated below:
a) To meet the short term credit requirements for cultivation of crops.
b) Post-harvest expenses.
c) Produce marketing loan.
d) Consumption requirements of farmer household.
e) Working capital for maintenance of farm assets and activities allied to agriculture.
f) Investment credit requirement for agriculture and allied sectors.

2. ELIGIBILITY:
i. Farmers - individual/joint borrowers who are owner cultivators.
ii. Tenant farmers, oral lessees & share croppers.
iii. Self Help Groups (SHGs) or Joint Liability Groups (JLGs) of farmers including tenant farmers, share croppers etc.
iv. Animal Husbandry, Dairy, and Fisheries farmers.

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3. CREDIT LIMIT & INTEREST SUBVENTION:
- Short term credit limit for the 1st year is fixed based on scale of finance for crops + 10% for post-harvest/household + 20% for repairs and maintenance.
- For each successive year (2nd to 5th year), the limit is increased by 10% per year.
- Interest Subvention Scheme (ISS): Farmers get short term crop loans up to Rs 3.00 lakh at a subsidized basic interest rate of 7% per annum.
- Prompt Repayment Incentive (PRI): An additional 3% interest subvention is provided to farmers who repay their loans promptly on or before due date, making the effective interest rate only 4% per annum.
- Collateral-free loan limit: Banks waive collateral requirement for agricultural loans up to Rs 1.60 lakh (extendable up to Rs 3 lakh under tie-up arrangements).

4. VALIDITY:
The KCC is valid for 5 years subject to annual review by the issuing bank.